

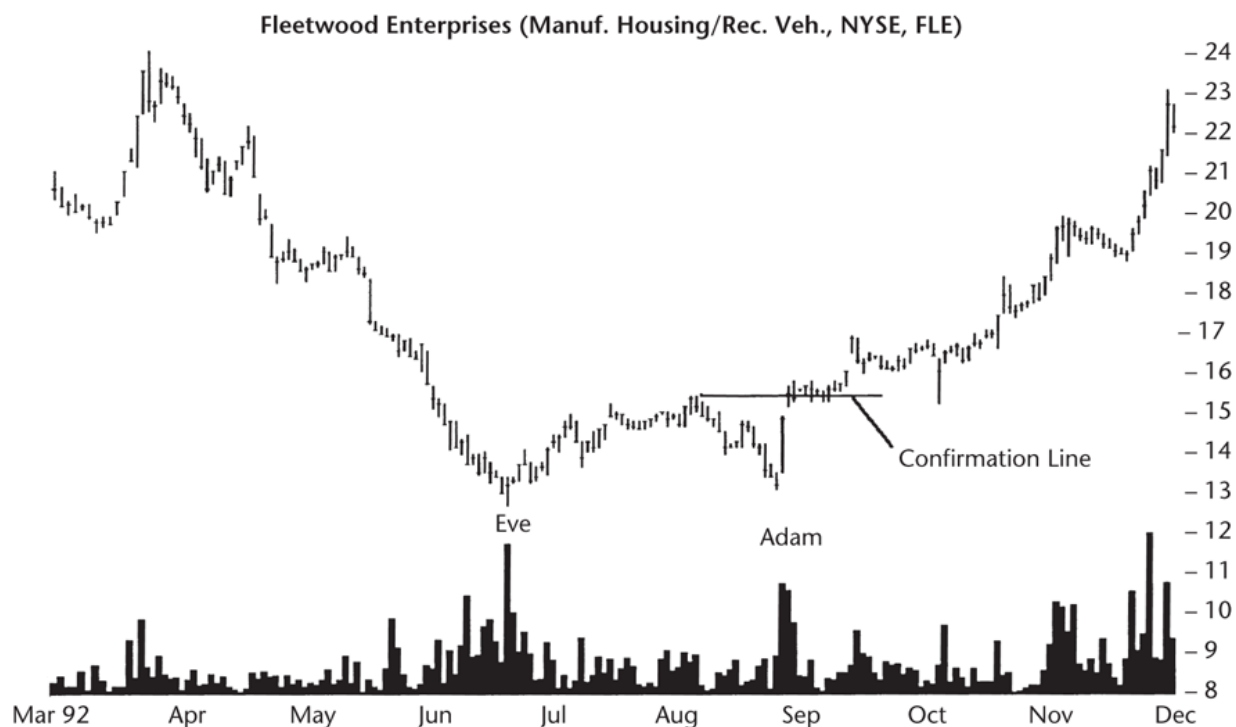


Figure 28.1 A double bottom occurs after a downward price trend. High volume commonly occurs on the left bottom.

The day after the low, on a burst of buying enthusiasm, the stock pole vaulted and reached the confirmation point in just 2 days. Instead of continuing upward, however, the stock skidded sideways along the breakout price for just over a week before resuming its move upward. By late January, the stock reached a high 75% above the breakout price.

All of that describes how the stock unfolded during 1992. The double bottom pattern at the Eve bottom is a gentle rounded turn, looking like a small cup. Compare that shape to the Adam bottom. Adam is pointed, narrow, and more V-shaped than Eve. Together, they form the Eve & Adam double bottom chart pattern, but only when the stock closes above the highest peak between those two bottoms. Price after the pattern breaks out makes a wonderful recovery, sending price up to near the old high.

Identification Guidelines

How do you identify an Eve & Adam double bottom? While it is easy to find two bottoms near the same price, it can be difficult to distinguish between the combinations of Adam and Eve.